

Stryker Corporation

NYSE: SYK · United States · Medical Technology

\$322.12

Closing price, 27 August 2026 · -2.29% on the day · Market capitalisation approximately \$123.6 billion



Executive Summary

Business

Stryker Corporation designs, manufactures and markets medical technologies across two reporting segments, MedSurg and Neurotechnology and Orthopaedics, spanning joint replacement implants, the Mako robotic-arm assisted surgical platform, surgical equipment and navigation, endoscopy, neurovascular and neurocranial devices, and patient handling and emergency-care equipment. Revenue is generated primarily through direct sales to hospitals, ambulatory surgery centres and surgeons in the United States, supplemented by a mixed direct-and-distributor model internationally, with the United States estimated at roughly three-quarters of total net sales.

Financial Condition

Trailing-twelve-month revenue through June 2026 was \$25.84 billion, up from \$25.12 billion in fiscal 2025 (+11.2% year over year), with GAAP operating income of \$4.89 billion (19.5% margin) and net income of \$3.25 billion (12.9% margin) in fiscal 2025. Operating cash flow reached \$5.04 billion and free cash flow (operating cash flow less capital expenditure) was \$4.28 billion in fiscal 2025; net debt stood at approximately \$11.5 billion as of 30 June 2026, equivalent to roughly 1.7 times calculated EBITDA.

Market Position

Stryker competes most directly with Zimmer Biomet, Johnson & Johnson's DePuy Synthes orthopaedics unit (currently being separated or sold), Medtronic and Smith & Nephew in reconstructive and surgical technology. Its principal competitive advantage is the scale of its Mako robotic-arm assisted surgery installed base (over 3,000 systems globally) combined with a deep, product-line-specialised direct sales organisation; its principal weakness is a long history of product-liability litigation tied to hip-implant recalls and a March 2026 cyberattack that disrupted order processing and shipping across dozens of countries.

Valuation

At the 27 August 2026 close of \$322.12, Stryker's market capitalisation was approximately \$123.6 billion and enterprise value approximately \$135.0 billion, implying a trailing GAAP price-to-earnings ratio of roughly 33x, EV/EBITDA (calculated) of roughly 20x, and price-to-free-cash-flow of roughly 26x. All three multiples sit below Stryker's own five-year historical averages.

Investment Framework

WHAT IS ATTRACTIVE

A durable, high-switching-cost robotic surgery franchise (Mako) still in the early-to-middle stages of penetrating ambulatory and community-hospital settings via the newly released handheld Mako RPS; consistent double-digit organic growth; disciplined, if debt-funded, bolt-on M&A (Inari Medical) that has diversified the revenue base into higher-growth vascular therapies; a 17-year (approximate, see Section A7) history of dividend increases funded from free cash flow with ample headroom.

WHAT IS CONCERNING	GAAP operating margin compressed from 22.4% in fiscal 2024 to 19.5% in fiscal 2025 on acquisition-related amortisation and integration costs; net debt and gross leverage both rose in 2025 following the debt-funded Inari transaction; a March 2026 cyberattack disrupted operations and injected uncertainty into fiscal 2026 estimates.
WHAT MUST GO RIGHT	Continued Mako and Mako RPS placement growth translating into implant "pull-through," full operational recovery from the March 2026 cyberattack without recurring disruption, and margin recovery toward the low-20% GAAP range as integration costs roll off.
WHAT COULD BREAK THE THESIS	A prolonged cyber-recovery tail that impairs fiscal 2026-2027 guidance, renewed large-scale product-liability litigation exposure, hospital capital-budget tightening that slows Mako placements, or a well-capitalised, reorganised DePuy Synthes emerging from its separation as a more aggressive competitor.
WHAT APPEARS PRICED IN	The base-case discounted cash flow analysis in Section C5 (mid-single-digit terminal growth, gradual margin recovery, a discount rate near 7.5-8.0%) produces per-share values below the current market price; matching the current price requires either a lower discount rate or a faster, more complete margin-and-growth recovery than the base case assumes, consistent with a market pricing in a moderately optimistic recovery scenario.

Investment Profile

BUSINESS QUALITY	High. Recurring implant and consumables revenue, high switching costs around the Mako platform, diversified product portfolio across two segments.
FINANCIAL QUALITY	Sound but weakening at the margin. Cash conversion (operating cash flow versus net income) remains strong; leverage increased materially in fiscal 2025.
COMPETITIVE POSITION	Strong. Largest or co-largest share position in hip and knee reconstruction alongside Zimmer Biomet, with a differentiated robotics platform.
GROWTH PROFILE	Above-market. Organic growth has consistently outpaced the mid-single-digit orthopaedic device market, aided by robotics penetration and M&A.
BALANCE-SHEET RISK	Moderate. Investment-grade profile with net debt of roughly 1.7-2.0 times EBITDA depending on definition, elevated by the 2025 Inari acquisition.
VALUATION	Below Stryker's own five-year historical trading range on P/E and EV/EBITDA as of the report date.
MARKET AND TECHNICAL PROFILE	Bearish intermediate trend as of the report date: price below both the 50-day and 200-day moving averages, down approximately 18% over the trailing year.

A. About the Business

A1. Business Environment

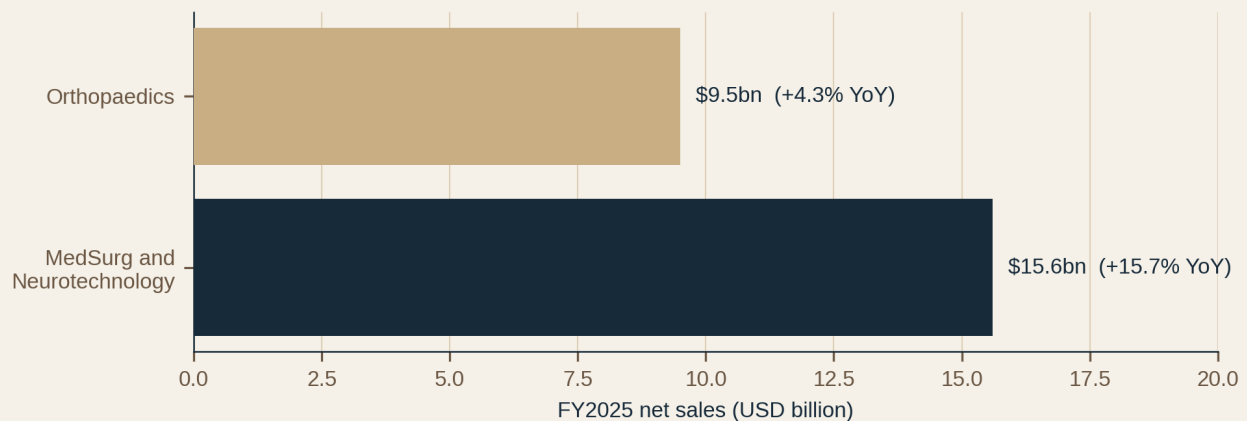
Stryker operates within the global medical device industry, and more specifically within orthopaedic reconstruction, surgical technology and neurovascular intervention. The orthopaedic devices sub-market alone, hip and knee implants, trauma and extremities hardware, and related robotics, is estimated by independent research providers at between roughly \$60 billion and \$66 billion in 2025, growing at a mid-single-digit compound annual rate through the next decade (estimates range from approximately 4.3% to 5.5% CAGR depending on provider and scope). These estimates do not capture Stryker's broader MedSurg and Neurotechnology addressable markets, surgical instruments, endoscopy, patient handling and neurovascular devices, which are sized separately by industry providers and are not consolidated here; a dedicated market-size estimate for that segment was not obtained for this report and should be treated as an information gap rather than an implied absence of opportunity.

Value in the industry is created primarily through clinical differentiation (implant longevity, surgical precision, robotic-assisted accuracy) and captured through a combination of surgeon preference, hospital purchasing relationships and, increasingly, capital-equipment platforms (robotic systems) that lock in a recurring stream of associated implant and consumable purchases. The industry is capital-intensive on the manufacturing and regulatory-compliance side, moderately cyclical with hospital capital-expenditure budgets and procedure volumes, and subject to substantial and increasing regulatory scrutiny, particularly following the European Union's Medical Device Regulation (MDR 2017/745), which reclassified joint prostheses into a higher-scrutiny category and materially raised the clinical-evidence and post-market surveillance bar for orthopaedic manufacturers operating in Europe. Reimbursement in the United States is governed chiefly by Medicare's Diagnosis-Related Group system, which bundles device costs into a fixed per-procedure hospital payment and structurally pressures device pricing over time, partially offset by supplemental New Technology Add-on Payments available to selected novel technologies.

Industry stage classification (Reasoned): Mature and moderately consolidating, with a structural growth overlay from robotic-assisted surgery adoption and an ageing population, rather than emerging, disrupted or speculative. The clearest evidence of the maturity-with-consolidation classification is the pending separation or sale of Johnson & Johnson's DePuy Synthes orthopaedics business (fiscal 2024 sales of approximately \$9.2 billion), announced as a spinoff targeted for completion in 2027 with a February 2026 press report indicating J&J is also exploring an outright sale for more than \$20 billion, the single largest structural event reshaping the competitive landscape as of the report date.

A2. What Does the Company Do?

Stryker organises its operations into two reportable segments as of fiscal 2025. **MedSurg and Neurotechnology** (approximately \$15.6 billion of fiscal 2025 net sales, 62% of the total, up 15.7% year over year) comprises surgical equipment and navigation systems (Instruments), endoscopic and communications systems (Endoscopy), patient-handling and emergency/intensive-care disposables (Medical), minimally invasive neurovascular products for stroke and venous thromboembolism (Vascular, materially expanded by the February 2025 Inari Medical acquisition), and cranial, skull-base and orthobiologic neurosurgical products (Neuro Cranial). **Orthopaedics** (approximately \$9.5 billion, 38% of the total, up 4.3% year over year) comprises hip and knee reconstruction implants, trauma and extremities hardware, and the Mako robotic-arm assisted surgical platform.

FIGURE A2.1, FY2025 NET SALES BY SEGMENT

Source: Stryker fourth-quarter and full-year 2025 results, as reported by Becker's Spine Review, 29 January 2026, <https://www.beckersspine.com/orthopedic/strykers-2025-revenue-up-11-2/>.

Customers are hospitals, ambulatory surgery centres and individual surgical practices, which make the purchasing and clinical adoption decisions on behalf of patients; no single customer or group purchasing organisation was identified as representing a disclosed revenue concentration. Distribution in the United States runs through a large, product-line-specialised direct sales organisation designed to preserve deep surgeon relationships; internationally Stryker uses a mix of company-owned subsidiaries and third-party distributors across more than 100 countries. Revenue composition blends two distinct economic characters: capital equipment (Mako systems, navigation platforms, patient-handling equipment) is lumpy, tied to hospital capital budget cycles, and typically sold at a lower margin or even at a loss-leader basis to seed a site, but each Mako placement is associated with a subsequent, recurring stream of higher-margin implant and instrument "pull-through" revenue as the site standardises its workflow around the platform, a widely cited industry dynamic (a specific Stryker-disclosed pull-through multiplier was not available for this report). Implants, disposables and instrument sets are the recurring, procedure-driven core of revenue.

HOW A DOLLAR MOVES THROUGH STRYKER

1. A hospital or ambulatory surgery centre capital committee approves a purchase, either a Mako system or an implant contract.
2. The surgeon and procurement teams negotiate price against a DRG-constrained reimbursement backdrop.
3. Stryker's direct sales force or a local distributor books the order.
4. Manufacturing and quality/regulatory compliance (FDA or MDR) deliver the device.
5. Revenue is recognised on delivery or procedure completion.
6. Cost of goods (materials, manufacturing overhead) and R&D/SG&A (largely sales-force compensation) are deducted to arrive at operating profit.
7. Free cash flow is generated after capital expenditure.
8. Capital is allocated to bolt-on acquisitions (for example, Inari Medical and Vertos Medical), to a dividend raised annually for approximately 17 consecutive years, and, when leverage permits, to share repurchases.

The most economically important links in this chain are, in order: the surgeon/hospital purchasing relationship (drives volume and price), the Mako installed base (drives the implant "pull-through" that converts a capital sale into a recurring implant annuity), and capital allocation discipline (determines whether acquisition-funded growth, such as Inari, ultimately earns its cost of capital).

A3. Business and Relationship Network

COMPANY	Stryker Corporation (NYSE: SYK), MedSurg and Neurotechnology; Orthopaedics
CUSTOMERS	Hospitals, ambulatory surgery centres, individual surgical practices; purchasing influenced by surgeon preference and hospital capital committees
DISTRIBUTION	Direct, product-line-specialised sales force (United States); mixed direct subsidiary/third-party distributor model (international, 100+ countries)
SUPPLIERS	Specialty metals (titanium, cobalt-chrome alloys), electronics and precision-machining subcontractors, orthobiologic materials suppliers (not individually disclosed as concentrated)
STRATEGIC / M&A	Inari Medical (peripheral vascular/VTE, closed February 2025, \$80.00/share cash tender, approximately \$4.9 billion); Vertos Medical (minimally invasive pain intervention, agreed August 2024)
REGULATORS	US Food and Drug Administration (510(k)/PMA pathways); European Union Medical Device Regulation authorities and Notified Bodies
COMPETITORS	Zimmer Biomet, Johnson & Johnson (DePuy Synthes), Medtronic, Smith & Nephew (direct); Intuitive Surgical (indirect, hospital capital-budget competitor)

Each relationship carries distinct economic weight. The surgeon/hospital relationship is the single most important link because orthopaedic device selection is a high-consideration, low-frequency decision driven by surgeon training and comfort, once a surgeon is trained on Stryker's Mako workflow and instrumentation, switching costs to a competing platform are meaningful in time, retraining and case-outcome risk, which underpins Stryker's pricing power at the margin. The 2025 Inari Medical acquisition materially altered the supplier/product network by adding an entirely new mechanical thrombectomy product line (FlowTrievers, ClotTrievers) that Stryker characterises as complementary to its existing Neurovascular business, extending its addressable market into the higher-growth venous thromboembolism segment.

A4. Competition

TABLE A4.1, COMPETITIVE COMPARISON

Company	What They Sell (Overlap With Stryker)	Revenue (TTM/FY)	Key Advantage	Key Disadvantage
Stryker (SYK)	Reconstruction implants, trauma, Mako robotics, MedSurg/neurovascular	\$25.8bn	Largest Mako robotics installed base; deep direct sales force	Elevated post-Inari leverage; litigation history; 2026 cyber disruption
Zimmer Biomet (ZBH)	Hip/knee reconstruction, sports medicine/extremities/trauma, ROSA robotics, spine	\$8.5bn	Pure-play reconstruction focus; large joint replacement share	Roughly one-third Stryker's scale; smaller R&D budget
Johnson & Johnson, DePuy Synthes	Joint reconstruction, trauma, spine, sports medicine	~\$9.2bn (FY2024)	Parent J&J balance-sheet and R&D scale (pre-separation)	Active spinoff/sale process is disrupting customer and sales-force continuity
Medtronic (MDT)	Spine, neurovascular, ENT, surgical instruments, plus broad cardiovascular/diabetes portfolio	\$36.4bn	Far broader diversification beyond orthopaedics/surgical	Slower organic growth; orthopaedic/surgical overlap is a minority of revenue

Company	What They Sell (Overlap With Stryker)	Revenue (TTM/FY)	Key Advantage	Key Disadvantage
Smith & Nephew (SNN)	Orthopaedic reconstruction, sports medicine/ENT, wound management, CORI robotics	\$6.3bn	Strong CORI robotics penetration in knee procedures	Roughly one-quarter Stryker's scale; historically lower margins
Intuitive Surgical (ISRG), indirect	da Vinci soft-tissue robotic surgery; no orthopaedic implants	Not retrieved	Dominant, highly recurring instrument/service model in soft-tissue robotics	Competes for hospital capital budget, not orthopaedic procedure share

Revenue figures are trailing twelve months or most recently reported fiscal year as available; not normalised to a common period. Sources: company overview data (Alpha Vantage company overview data, SYK/MDT/ZBH/SNN, accessed 27 August 2026); DePuy Synthes figure per MedTech Dive/Yahoo Finance reporting on the J&J separation, <https://www.medtechdive.com/news/jnj-ortho-spinoff-industry-impact/802983/>.

Third-party industry aggregators cite approximate global procedure-share estimates of roughly 29-33% for Zimmer Biomet and 24-29% for Stryker in knee reconstruction, and roughly 24-25% each for Zimmer Biomet and Stryker in hip reconstruction, with DePuy Synthes and Smith & Nephew trailing. These are syndicated market-research estimates rather than company-reported figures and should be treated as directional, not precise.

A5. Competitive Differences

Advantages. Stryker's most durable advantage is the switching-cost structure created by its Mako robotic-arm assisted surgery platform: once a hospital has invested in the capital equipment and trained its surgical staff on the associated workflow, the cost, in dollars, retraining time and perceived case-outcome risk, of switching to a competing robotic platform is high, and the 2026 launch of the handheld Mako RPS extends this lock-in into ambulatory surgery centres and community hospitals that could not previously justify a full robotic system. A second advantage is distribution scale: a large, product-line-specialised direct sales force supports the kind of deep surgeon relationships that are difficult and slow for a smaller competitor to replicate. A third is regulatory-approval history, which functions as a barrier to new entrants given the multi-year, high-cost approval pathway for implantable devices, particularly post-MDR in Europe. A fourth is an active, well-capitalised bolt-on M&A programme that has diversified revenue into adjacent, faster-growing categories (Inari Medical in peripheral vascular/VTE).

Disadvantages. Stryker carries a meaningful product-liability litigation history, including the 2012 Rejuvenate/ABG II modular hip recall (settled for more than \$1 billion) and subsequent litigation concerning LFIT V40 femoral heads and, more recently, the Tritanium Acetabular Shell. A March 2026 destructive cyberattack, attributed by researchers to the hacktivist group Handala, with some analysts linking it to Iranian state interests, compromised Stryker's device-management environment, disrupted order processing, manufacturing and shipping across 79 countries, and materially affected first-quarter 2026 results, with recovery still referenced in second-quarter 2026 commentary. Pricing pressure from continued hospital-system consolidation and DRG-based reimbursement is a structural, industry-wide headwind rather than a Stryker-specific one.

Moat classification (Reasoned): Moderate to Strong. The Mako installed base and surgeon-training lock-in provide a structural, durable advantage that is difficult to replicate quickly, but it is not absolute, Zimmer Biomet's ROSA and Smith & Nephew's CORI systems are gaining robotics placements of their own, and reimbursement/pricing dynamics apply industry-wide pressure that no single competitor is immune to.

A6. Industry Trend

The orthopaedic and surgical technology industry is best characterised as mature and moderately consolidating, with company-specific growth outpacing underlying market growth through share gains and robotics-driven procedure mix shift. Stryker's own fiscal 2025 reported revenue growth of 11.2% and second-quarter 2026 organic growth of 9% both run well ahead of the mid-single-digit market growth estimates cited in Section A1, indicating Stryker (along with peers investing heavily in robotics) is taking share within a structurally slower-growing overall market. Secular tailwinds include continued robotic-assisted surgery adoption across all major reconstruction competitors, an ageing population with rising musculoskeletal disease incidence, and the ongoing shift of procedures toward lower-cost ambulatory surgery centres, a trend the Mako RPS launch is designed to capture. A structurally transforming element specific to this report period is the J&J DePuy Synthes separation process, which could either create a newly independent, focused competitor or transfer the business to a new strategic or financial owner with different competitive priorities; the outcome is not yet determined as of the report date and is a genuine two-sided catalyst for Stryker and the wider industry, capable of reversing the current competitive equilibrium if the separated or acquired entity re-invests aggressively.

A7. Management

Kevin A. Lobo has served as Chair and Chief Executive Officer; he held the additional title of President until January 2026, when Stryker promoted Spencer Stiles, previously Orthopaedics Group President, to companywide President and Chief Operating Officer, an internal succession-planning signal worth monitoring. Total 2025 compensation for Mr Lobo was reported at \$21.4 million per Stryker's March 2026 proxy statement.

Preston Wells became Vice President and Chief Financial Officer effective 1 April 2025, succeeding Glenn S. Boehnlein upon his retirement. Mr Wells joined Stryker in 2015 after 17 years of finance leadership roles at Dialight Corporation and Johnson & Johnson, and progressed internally through Financial Planning & Analysis, Investor Relations, and Group CFO of Orthopaedics before his promotion; his 2025 total compensation was reported at \$6.3 million.

Capital allocation. Management has funded two disclosed bolt-on acquisitions in the trailing period, Inari Medical (closed February 2025, approximately \$4.9 billion, debt-funded) and Vertos Medical (agreed August 2024, terms undisclosed), consistent with a strategy of buying into adjacent, faster-growing categories rather than relying solely on organic R&D. Stryker has paid a dividend for more than three decades and raised it annually for approximately 17 consecutive years by one data provider's count (an alternative provider cites 16 years; the discrepancy was not reconciled against Stryker's own investor relations dividend-history page for this report and should be treated as approximate), with the quarterly rate raised to \$0.88 per share in mid-2025 (+4.8% year over year). Commentary accompanying the second-quarter 2026 results referenced an intention to resume share repurchases following a pause associated with the cyberattack disruption, implying buyback activity was curtailed during the recovery period; this should be confirmed against the financing-activities section of subsequent 10-Q filings. Institutional ownership stood at approximately 82.8% and insider ownership at approximately 5.4% per Alpha Vantage's company-overview data as of the report date; a separately sourced claim that a Stryker family member holds an approximately 35% individual stake was not independently verified against the primary proxy beneficial-ownership table and is not treated as reliable for this report. On balance, capital allocation, a mix of acquisitive growth, a long-dated and growing dividend, and opportunistic buybacks, appears broadly aligned with shareholder interests, though the debt-funded nature of the Inari transaction and the resulting increase in leverage merit ongoing monitoring.

B. Evaluation

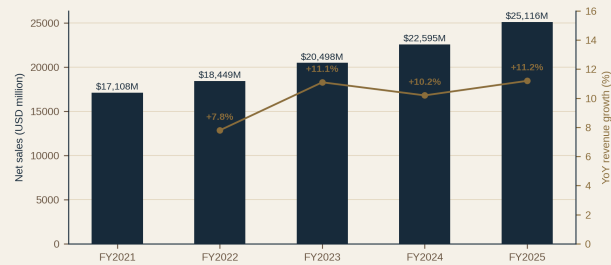
B1. Financial and Operating Metrics

TABLE B1.1, KEY RATIOS, FY2021-FY2025 (CALCULATED FROM REPORTED FIGURES)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue growth (%)	n/a	7.8	11.1	10.2	11.2
Gross margin (%)	62.6	59.8	60.9	61.9	64.0
Operating margin, GAAP (%)	22.0	20.2	20.9	22.4	19.5
Net margin (%)	11.7	12.8	15.4	13.2	12.9
Return on equity (%)	13.4	14.2	17.0	14.5	14.5
Return on invested capital, calc. (%)	13.5	11.8	12.9	14.5	10.2
FCF margin (%)	16.0	11.0	15.3	15.4	17.1
Net debt / EBITDA, calc. (x)	1.99	2.38	1.90	1.50	1.96

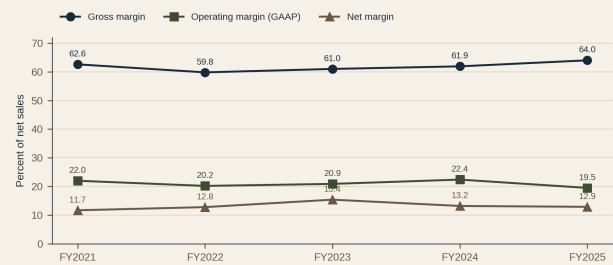
Calculated by the analyst from Alpha Vantage income statement, balance sheet and cash flow data (symbol SYK). EBITDA calculated as GAAP operating income plus depreciation and amortisation. ROIC calculated as after-tax operating income (using each year's effective tax rate) divided by invested capital (total debt plus equity less cash and short-term investments).

FIGURE B1.1, REVENUE AND GROWTH



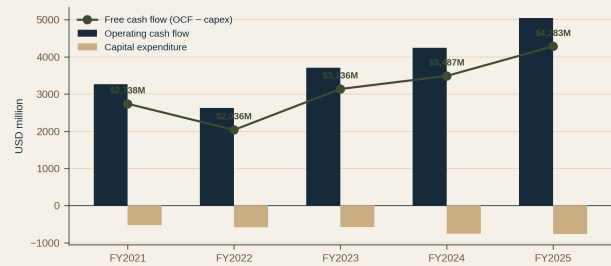
Source: Alpha Vantage income statement data, FY2021-FY2025 annual reports.

FIGURE B1.2, MARGIN TREND



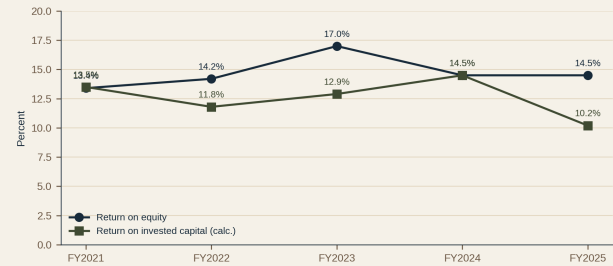
Calculated from reported gross profit, GAAP operating income and net income.

FIGURE B1.3, CASH FLOW GENERATION



Source: Alpha Vantage cash flow data, annual reports. Free cash flow calculated as operating cash flow less capital expenditure.

FIGURE B1.4, RETURNS ON CAPITAL



Calculated by the analyst; see Table B1.1 methodology note.

Gross margin expanded steadily from 59.8% in fiscal 2022 to 64.0% in fiscal 2025, a favourable mix effect consistent with the growing weight of higher-margin MedSurg and Neurotechnology products (including Inari's vascular portfolio) within total revenue. GAAP operating margin, by contrast, compressed sharply in fiscal 2025 to 19.5% from 22.4% the prior year despite the gross-margin improvement, the gap is explained by acquisition-related intangible amortisation and integration costs associated with Inari Medical, alongside continued SG&A investment, and is a genuine margin-quality flag rather than a one-off rounding effect. Return on invested capital fell to 10.2% in fiscal 2025 from 14.5% the prior year, reflecting both the margin compression and the larger invested-capital base following the debt-funded acquisition; this is the single most important profitability trend to monitor in coming quarters, since a durable recovery toward the historical 12-14% ROIC range would support the bull case, while a failure to recover would suggest Inari was paid for at a full or excessive price relative to its earnings contribution to date.

B2. Risks

TABLE B2.1, STRUCTURED RISK ASSESSMENT

Category	Risk	Probability	Impact
Business	Slower Mako/Mako RPS placement growth if hospital capital budgets tighten	Medium	Medium
Financial	Leverage remains elevated (net debt/EBITDA near 2x) if margin recovery stalls	Medium	Medium
Competitive	A reorganised, well-capitalised DePuy Synthes (post-separation or sale) intensifies competition	Medium	High
Technological	Cybersecurity, recurrence or prolonged tail of the March 2026 attack disrupting operations	Medium	High
Regulatory	Further tightening of EU MDR or US FDA requirements raising approval costs and timelines	Medium	Medium
Macro	Higher-for-longer interest rates raising the cost of refinancing acquisition-related debt	Low-Medium	Medium
Valuation	Multiple compression if fiscal 2026 growth or margin guidance disappoints post-cyberattack	Medium	Medium
Legal	Continued or renewed product-liability litigation (hip implant recall legacy, Tritanium shell claims)	Medium	Medium

The three risks most capable of permanently impairing shareholder value (Reasoned): first, a structurally more capable competitor emerging from the DePuy Synthes separation that permanently erodes Stryker's reconstruction share; second, a recurrence or extension of cybersecurity disruption that damages customer trust in Stryker's connected surgical and hospital systems on a lasting basis; third, evidence that the Inari Medical acquisition was overpaid relative to its durable earnings power, which would represent a permanent, not cyclical, destruction of capital.

B3. Valuation

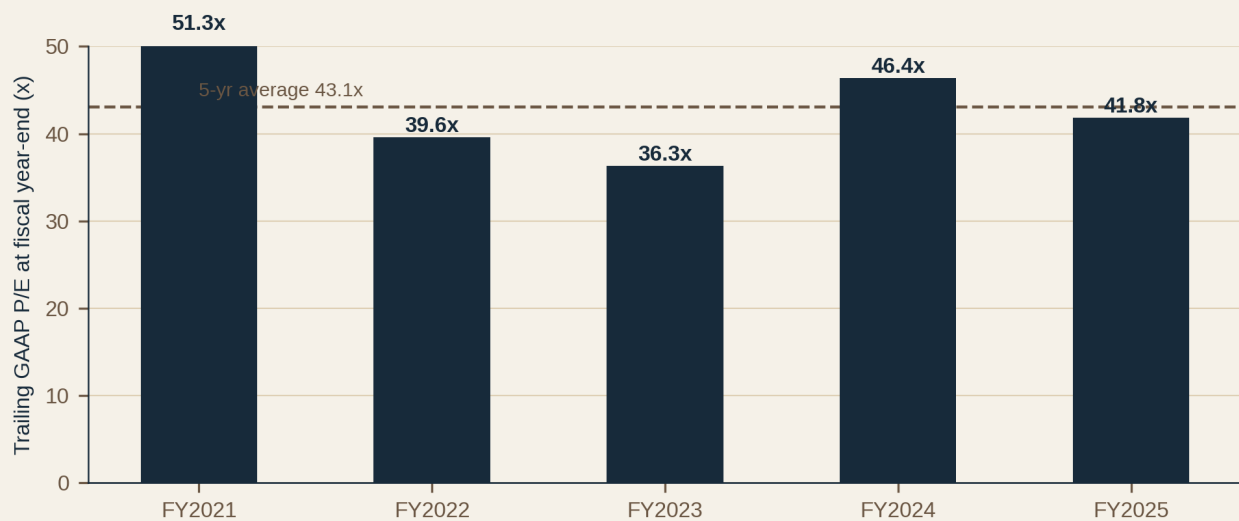
TABLE B3.1, CURRENT VALUATION SNAPSHOT (27 AUGUST 2026)

Metric	Value	Basis
Share price	\$322.12	Calculated/Sourced, Alpha Vantage share price data, cross-checked against stockanalysis.com

Metric	Value	Basis
Market capitalisation	\$123.6bn	Calculated: 383.57m shares × \$322.12
Enterprise value	\$135.0bn	Calculated: market cap + net debt (\$11.47bn, Q2 2026)
Trailing P/E, GAAP	~33x	Calculated: market cap / TTM net income (\$3.73bn)
Forward P/E, adjusted EPS basis	~22x	Sourced (Alpha Vantage company overview data); uses consensus adjusted (non-GAAP) EPS; not directly comparable to the trailing GAAP figure above
EV / EBITDA (calc.)	~20x	Calculated: EV / (TTM operating income + D&A)
EV / Revenue	~5.2x	Calculated
P / Free cash flow	~26x	Calculated: market cap / TTM FCF (\$4.70bn)
Dividend yield	1.1%	Calculated: \$3.52 annualised / \$322.12

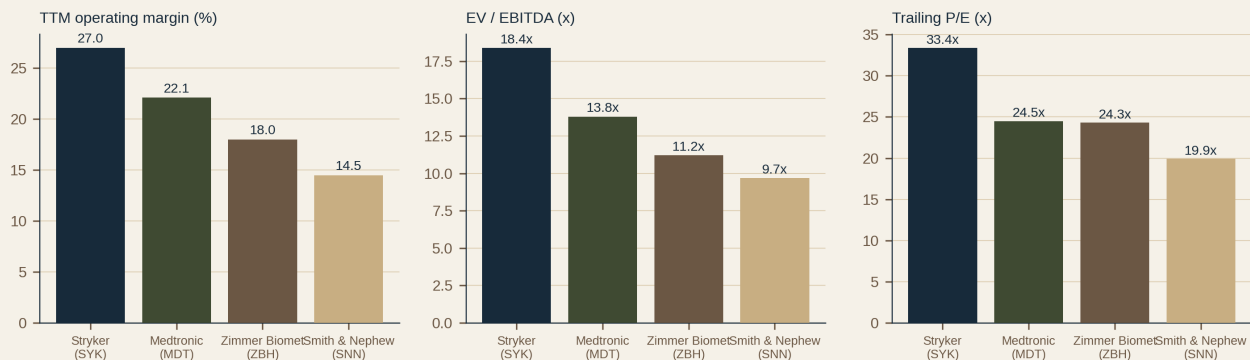
GAAP figures use as-reported net income and operating income; Stryker separately reports non-GAAP "adjusted" EPS (fiscal 2025 adjusted EPS \$13.63 versus GAAP diluted EPS \$8.40) which underlies most sell-side forward P/E and consensus estimates, the two bases are not interchangeable and are labelled separately above.

FIGURE B3.1, TRAILING GAAP P/E AT FISCAL YEAR-END, FY2021-FY2025



Calculated from fiscal year-end closing prices (Alpha Vantage monthly price data) and reported GAAP diluted EPS.

Stryker's fiscal year-end trailing P/E ranged from roughly 36x to 51x over fiscal 2021-2025, averaging approximately 43x; the current trailing P/E of approximately 33x sits meaningfully below that five-year range. A parallel calculation of historical EV/EBITDA (using the same operating-income-plus-D&A construction as the current-period figure) shows a range of roughly 22x to 24x over the same period, versus approximately 20x today. On both bases the stock is trading below its own recent historical range, which is consistent with either a de-rating driven by the fiscal 2025 margin compression and 2026 cyberattack disruption, or a market view that the elevated historical multiples were themselves stretched.

FIGURE B3.2, PEER COMPARISON, SELECTED METRICS (TTM)

Source: Alpha Vantage company financial data for SYK, MDT, ZBH and SNN, accessed 27 August 2026.

Against the peer set in Table A4.1, Stryker trades at a premium trailing P/E and EV/EBITDA to Medtronic, Zimmer Biomet and Smith & Nephew, consistent with its higher operating margin and above-market organic growth rate, the premium is a function of demonstrated operating performance rather than an unexplained anomaly, though it does leave less room for execution disappointment than is priced into the more modestly valued peers.

B4. Capital Market and Stock Analysis

TABLE B4.1, PRICE RETURNS TO 27 AUGUST 2026 (CALCULATED FROM MONTH-END CLOSES)

Period	Return
3 months	+5.6%
6 months	-16.9%
Year to date	-8.4%
1 year	-17.7%
3 years	+13.6%
5 years	+16.2%

Calculated from unadjusted month-end (and latest daily) closing prices, Alpha Vantage monthly and daily price data, symbol SYK. Anchor dates are nearest available month-end to each horizon; minor variance versus rolling-day calculations from other providers is expected.

FIGURE B4.1, FIVE-YEAR SHARE PRICE HISTORY

Source: Alpha Vantage monthly price data, unadjusted month-end close, symbol SYK, accessed 27 August 2026.

Volatility and technical structure: beta of 0.77 versus the broad market (Sourced, Alpha Vantage/stockanalysis.com, mutually consistent), a 52-week trading range of \$280.25 to \$392.86, and a price of \$322.12 that sits below both the 50-day moving average (approximately \$327.84) and the 200-day moving average (approximately \$340.05) as of the report date, an intermediate-to-longer-term bearish technical structure. Trailing-year maximum drawdown, measured from the 52-week high to the 52-week low, was approximately -28.7%; a monthly-close-basis drawdown from the February 2026 peak (\$387.46) to the May 2026 trough (\$305.09) was approximately -22.1%. A short-window annualised volatility estimate (trailing roughly two and a half months of daily closes, log returns) was approximately 40%; a full trailing-twelve-month daily volatility figure was not obtainable within this report's data access and should be treated as an approximation rather than a precise trailing-252-day calculation. The technical structure, a stock below both major moving averages, in a year-over-year drawdown, following a disclosed operational disruption, stands in some tension with the fundamental picture of continued double-digit organic growth, and is consistent with the market discounting execution risk around the cyberattack recovery and the fiscal 2025 margin compression discussed in Section B1, rather than with any change in Stryker's underlying competitive position.

C. Financial Statements

All figures below are reported under US GAAP, fiscal year ended 31 December, in USD millions unless stated per-share. Values are Reported (as filed / SEC-taxonomy-mapped by the data provider) unless marked Calculated.

C1. Income Statement

TABLE C1.1, INCOME STATEMENT, FY2021-FY2025 AND TTM (USD MILLION)

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun'26
Net sales	17,108	18,449	20,498	22,595	25,116	25,837
Cost of sales	6,399	7,409	8,004	8,615	9,051	n/a
Gross profit	10,709	11,040	12,494	13,980	16,065	16,837
Research and development	1,133	1,230	1,293	1,414	1,582	1,658
Selling, general and administrative	5,752	6,035	7,129	7,685	8,221	n/a
Operating income (GAAP)	3,763	3,734	4,281	5,061	4,889	5,691
Interest expense	337	337	356	396	607	827
Pre-tax income	2,281	2,683	3,673	3,492	4,514	n/a
Income tax expense	287	325	508	499	1,268	n/a
Net income	1,994	2,358	3,165	2,993	3,246	3,729
Diluted EPS, GAAP (\$)	5.21	6.17	8.25	7.76	8.40	9.65

Source: Alpha Vantage income statement data (SEC-taxonomy mapped), symbol SYK, accessed 27 August 2026. TTM = trailing four quarters through 30 June 2026, partially Calculated by the analyst from quarterly filings. Non-GAAP adjusted EPS (management's preferred metric; fiscal 2025 = \$13.63) is materially higher than GAAP diluted EPS (\$8.40) chiefly due to the add-back of acquisition-related intangible amortisation and integration/restructuring charges; see Table B3.1.

Revenue growth over the period was driven by a combination of organic procedure-volume and pricing gains within existing Orthopaedics and MedSurg lines, and, in fiscal 2025 specifically, by the inorganic contribution of the Inari Medical acquisition within MedSurg and Neurotechnology. Gross margin expanded from 59.8% to 64.0% between fiscal 2022 and fiscal 2025 on favourable product mix, but GAAP operating margin did not track gross margin higher in fiscal 2025, falling to 19.5% from 22.4%, evidence of negative operating leverage driven by acquisition-related amortisation and integration costs rather than by underlying commercial weakness. The effective tax rate rose sharply in fiscal 2025 to 28.1% of pre-tax income from 14.3% in fiscal 2024, a further drag on net margin that should be monitored for whether it reflects a one-off item (such as a discrete tax charge related to the Inari transaction) or a structural reset in Stryker's tax rate; this was not resolved with the data available for this report and is flagged as an item for follow-up against the fiscal 2025 10-K tax footnote.

C2. Balance Sheet

TABLE C2.1, BALANCE SHEET, FY2021-FY2025 AND Q2 2026 (USD MILLION)

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025	Q2 2026
Cash and short-term investments	3,019	1,928	3,053	4,402	4,100	3,476
Inventory	3,314	3,995	4,843	4,774	5,310	5,521
Total current assets	10,017	10,275	12,518	14,847	14,755	14,418
Goodwill	12,918	14,880	15,243	15,855	19,291	19,584
Intangible assets (ex-goodwill)	4,840	4,885	4,593	4,395	5,681	5,742
Total assets	34,631	36,884	39,912	42,971	47,844	47,930
Total current liabilities	4,549	6,303	7,921	7,616	7,794	6,684
Long-term debt	12,472	11,857	10,901	12,188	14,859	14,192
Total liabilities	19,754	20,268	21,319	22,337	25,424	23,942
Total shareholders' equity	14,877	16,616	18,593	20,634	22,420	23,988
Net debt, calculated	10,603	11,241	10,085	9,195	11,912	11,466
Net debt / EBITDA, calculated (x)	1.99	2.38	1.90	1.50	1.96	~1.7

Source: Alpha Vantage balance sheet data, symbol SYK. Net debt calculated as short-term plus long-term debt less cash and short-term investments. FY2021 short-term debt was not separately disclosed in the data source; a de minimis estimate was used and is flagged as approximate.

Goodwill and intangible assets rose from a combined \$17.8 billion (fiscal 2021) to \$24.9 billion (Q2 2026), an increase of roughly \$7.1 billion, driven almost entirely by the Inari Medical acquisition, and now represent approximately 52% of total assets, a concentration that warrants monitoring for impairment risk if the acquired businesses underperform expectations. Net debt declined steadily from fiscal 2021 through fiscal 2024 before rising again in fiscal 2025 on the debt-funded Inari transaction; leverage on a net-debt-to-EBITDA basis remains within an investment-grade-consistent range (below 2.0x on the analyst's calculated basis throughout the period) but has not yet returned to its fiscal 2024 low. The current ratio at fiscal year-end 2025 was approximately 1.9x (total current assets of \$14,755 million against total current liabilities of \$7,794 million), indicating ample short-term liquidity; a quick ratio excluding inventory was approximately 1.2x, also comfortable. No off-balance-sheet financing structures, unusual working-capital deterioration, or receivables/inventory red flags were identified in the data reviewed for this report.

C3. Cash Flow Statement

TABLE C3.1, CASH FLOW STATEMENT, FY2021-FY2025 (USD MILLION)

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	3,263	2,624	3,711	4,242	5,044
Capital expenditure	525	588	575	755	761
Free cash flow, calculated	2,738	2,036	3,136	3,487	4,283
Depreciation and amortisation	990	998	1,028	1,050	1,193
Stock-based compensation	171	168	205	229	243
Dividends paid	950	1,051	1,139	1,219	1,284

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Cash flow from investing	(4,701)	(859)	(2,924)	(3,000)	(4,866)
Cash flow from financing	(11)	(2,365)	(749)	(525)	113
Net income (memo)	1,994	2,358	3,165	2,993	3,246
Operating cash flow / net income (x)	1.64	1.11	1.17	1.42	1.55

Source: Alpha Vantage cash flow data, symbol SYK. Free cash flow calculated as operating cash flow less capital expenditure.

Cash generation has consistently exceeded reported net income, with operating cash flow running 1.1 to 1.6 times net income across the period, a reassuring earnings-quality signal, since it indicates GAAP net income (which is depressed by non-cash amortisation of acquired intangibles) understates rather than overstates the cash the business actually generates. The one point of divergence to note is fiscal 2023 to fiscal 2024, when net income declined 5.4% while operating cash flow rose 14.3%; this is consistent with ordinary working-capital and tax-timing effects rather than an earnings-quality concern, but is flagged for completeness as a case where net income and cash generation moved in different directions. Large investing outflows in fiscal 2021 (-\$4.7 billion) and fiscal 2025 (-\$4.9 billion) both correspond to acquisition-heavy years, consistent with the goodwill increases documented in Section C2.

C4. Forecasting and Projections

The forecast underlying the discounted cash flow analysis in Section C5 is built bottom-up from the following assumptions, each labelled by type. **Revenue (Reasoned):** growth decelerating from approximately 8.5% in year one, consistent with the low end of management's fiscal 2026 organic guidance of 8.3% to 9.3% issued alongside second-quarter 2026 results, to approximately 5.8% by year five, converging toward a still-above-market rate that reflects continued Mako/Mako RPS placement growth and Inari integration, moderating as the law of large numbers and eventual market-growth reversion take hold. **Margins (Reasoned):** GAAP operating margin recovering gradually from the depressed fiscal 2025/2026 level toward 23.0% by year five, as acquisition-integration and cyberattack-recovery costs fade, a recovery, not an expansion beyond, the fiscal 2024 peak of 22.4%. **Tax rate (Reasoned):** 24%, between the unusually low fiscal 2024 rate (14.3%) and the unusually high fiscal 2025 rate (28.1%), pending clarification of which is more representative of a normalised run rate. **Capital expenditure (Reasoned):** held at 3.0% of revenue, in line with the trailing five-year average of approximately 3.0-3.4%. **Depreciation and amortisation (Reasoned):** held at 4.5% of revenue, modestly above the trailing average given the larger post-Inari intangible-amortisation base. **Working capital (Reasoned):** a modest incremental investment of 0.5% of the year-over-year revenue increase.

Scenario framing. The base case above is deliberately conservative relative to management's own near-term guidance. A bull case would assume the high end of management's 8.3-9.3% fiscal 2026 organic guidance is sustained for longer, GAAP operating margin recovers fully to the mid-20% range by year three as cyberattack and integration costs prove transitory, and Mako RPS drives an acceleration in Orthopaedics segment growth. A bear case would assume growth decelerates toward the mid-single-digit market rate within two to three years, margin recovery stalls near 20-21% as competitive and pricing pressure persists, and further debt-funded M&A keeps leverage elevated without a commensurate earnings contribution.

C5. Discounted Cash Flow Model

TABLE C5.1, DCF ASSUMPTIONS (BASE CASE, ALL REASONED UNLESS NOTED)

Assumption	Value
Starting revenue base (TTM, Sourced)	\$25,837m

Assumption	Value
Revenue growth, years 1-5	8.5% declining to 5.8%
GAAP operating margin, years 1-5	20.5% rising to 23.0%
Tax rate	24%
Capital expenditure (% revenue)	3.0%
Depreciation and amortisation (% revenue)	4.5%
Cost of equity (CAPM: 4.3% risk-free + 0.77 beta × 5.0% equity risk premium)	8.15%
After-tax cost of debt	3.4%
WACC, base case	7.5%-8.0%
Terminal growth rate	2.0%-3.0%
Net debt (Sourced, Q2 2026)	\$11,466m
Diluted shares outstanding (Sourced)	383.6m

TABLE C5.2, IMPLIED VALUE PER SHARE, SENSITIVITY TO WACC AND TERMINAL GROWTH

WACC \ Terminal Growth	2.0%	2.5%	3.0%
7.0%	\$291.58	\$321.87	\$359.74
7.5%	\$261.64	\$285.97	\$315.70
8.0%	\$236.71	\$256.60	\$280.48
8.5%	\$215.62	\$232.15	\$251.68

Calculated by the analyst; five-year explicit forecast plus Gordon Growth terminal value, discounted at the WACC shown. Base-case column (7.5%-8.0% WACC, 2.0%-3.0% terminal growth) implies a value range of approximately \$237 to \$316 per share, with a central estimate near \$268-\$286 per share (7.5%-7.8% WACC, 2.5% terminal growth).

This is a valuation range, not a precise intrinsic-value point estimate, and it is highly sensitive to the margin-recovery and growth assumptions in Table C5.1. Against the 27 August 2026 closing price of \$322.12, the base-case DCF range implies the current market price sits at or above the upper end of the base sensitivity band; matching today's price within this framework requires either a lower discount rate (nearer 7.0%) or a faster and fuller margin/growth recovery than the base case assumes (nearer the bull-case framing in Section C4). On a scale running from Conservative to Extremely Optimistic, the assumptions embedded in the current price appear **Optimistic** relative to this analyst's base case: reasonable, but leaving limited room for the execution disappointments discussed in Section B2, and not judged Extremely Optimistic given that Stryker's own near-term guidance is broadly consistent with the growth assumptions required.

C6. Leveraged Buyout Model

A traditional leveraged buyout framework is not presented for Stryker. At an approximately \$123.6 billion market capitalisation, investment-grade credit quality, and net leverage near 1.7-2.0 times EBITDA on the analyst's calculated basis, a change-of-control leveraged transaction at anything resembling typical private-equity leverage multiples (5-7 times EBITDA of new debt) is not a realistic or economically meaningful scenario for a company of Stryker's scale, and

constructing one would produce a model divorced from any plausible transaction reality and of no genuine analytical value to a reader.

D. Investment Thesis

Bull Case

Mako and Mako RPS placements accelerate as ambulatory surgery centres and community hospitals adopt the handheld platform, driving both capital-equipment revenue and a growing tail of implant "pull-through"; GAAP operating margin recovers fully to the mid-20% range within two to three years as Inari integration costs and cyberattack-recovery expenses prove transitory rather than structural; the Inari and Vertos acquisitions earn back their cost of capital and open durable new growth categories in peripheral vascular and pain intervention; a well-executed capital allocation programme, continued dividend growth alongside resumed share repurchases, supports per-share value creation even without material multiple re-rating; and the DePuy Synthes separation process creates near-term customer and sales-force disruption at a key competitor that Stryker is positioned to exploit for share gains.

Bear Case

Cyberattack-recovery costs and disruption prove more persistent than fiscal 2026 guidance currently assumes, weighing on both margins and customer confidence in Stryker's connected surgical systems; GAAP operating margin stalls in the 19-21% range as competitive pricing pressure and continued acquisition-related amortisation offset gross-margin gains; further debt-funded acquisitions push net leverage above 2.5 times EBITDA without a commensurate earnings contribution, pressuring the investment-grade credit profile; and a reorganised or newly acquired DePuy Synthes re-invests aggressively in reconstruction and Mako-competing robotics, eroding Stryker's share and pricing power over a multi-year horizon.

Base Case

Organic revenue growth moderates from management's fiscal 2026 guidance of 8.3-9.3% toward a still-above-market mid-to-high single-digit rate over the following several years, consistent with continued but decelerating Mako-driven share gains; GAAP operating margin recovers gradually from the fiscal 2025 trough of 19.5% toward the low-to-mid 20% range as integration and cyber-recovery costs fade, without fully re-attaining a structurally higher level; leverage gradually declines from the post-Inari peak as free cash flow is applied to debt reduction alongside continued, moderate dividend growth; and the stock's valuation multiples remain within, or modestly below, their recent five-year range absent a clear catalyst for re-rating.

Catalysts

Near-term catalysts include quarterly earnings releases (particularly evidence of the pace of cyberattack-recovery and GAAP margin trajectory), the cadence of Mako RPS commercial adoption data, the ultimate structure and timing of the J&J DePuy Synthes separation or sale, any resumption and scale of share repurchase activity, further bolt-on acquisition announcements, and the annual dividend declaration (typically in the fourth quarter, testing whether the approximately 17-year increase streak continues).

Things to Monitor

TABLE D.1, MONITORING LIST

Metric or Event	Why It Matters	Positive Signal	Negative Signal
GAAP operating margin	Directly tests whether fiscal 2025 compression was transitory or structural	Sequential recovery toward 21-22%	Margin stuck at or below 19-20% for multiple quarters
Mako / Mako RPS unit placements	Leading indicator of future implant pull-through revenue	Accelerating quarterly placement counts	Placement growth deceleration
Net debt / EBITDA	Tests capital discipline following the debt-funded Inari deal	Steady deleveraging toward 1.5x or below	Leverage rising above 2.5x on further M&A
Cyberattack-recovery commentary	Direct read on operational normalisation	Management stops flagging cyber-related cost drag	Continued explicit guidance cuts tied to cyber recovery
DePuy Synthes separation/sale outcome	Reshapes the competitive structure of orthopaedics	Disorderly or delayed separation that keeps DePuy distracted	A well-capitalised, aggressive new competitor emerges quickly
Effective tax rate	Fiscal 2025's 28.1% rate versus fiscal 2024's 14.3% needs reconciliation	Rate normalises to a stable, disclosed run rate	Continued volatility signalling recurring one-off items

E. Final Investment Framework

BUSINESS QUALITY	High, recurring implant/consumables revenue layered onto a capital-equipment robotics platform with genuine switching costs.
FINANCIAL QUALITY	Sound, strong cash conversion (OCF consistently above net income) offset by fiscal 2025 margin compression and a rising effective tax rate that require reconciliation.
COMPETITIVE POSITION	Strong, co-leading share in hip/knee reconstruction with the largest robotic-surgery installed base among direct peers.
MANAGEMENT	Broadly aligned with shareholders, disciplined if debt-funded M&A, a multi-decade dividend growth record, recent CFO transition to a long-tenured internal successor.
INDUSTRY	Mature, moderately consolidating, with a structural robotics-adoption growth overlay; the DePuy Synthes separation is the dominant near-term structural event.
VALUATION	Below Stryker's own five-year historical trading range on P/E and EV/EBITDA; base-case DCF range of approximately \$216-\$360 per share, central estimate below the current price.
TECHNICAL AND MARKET STRUCTURE	Bearish intermediate trend, price below both the 50-day and 200-day moving averages, down approximately 18% over the trailing year.
PRINCIPAL RISK	A prolonged cyberattack-recovery tail, or a stronger-than-expected competitor emerging from the DePuy Synthes separation, either of which would impair the margin-recovery and share-gain assumptions underlying the base case.
PRINCIPAL CATALYST	Evidence of GAAP operating margin recovery toward the low-to-mid 20% range alongside continued Mako RPS placement growth.
KEY VARIABLE	The trajectory of GAAP operating margin, it is the single variable most responsible for the gap between the fiscal 2024 and fiscal 2025 profitability pictures, and the base-case DCF valuation range is highly sensitive to how much of that margin is recovered.
THESIS INVALIDATION	The investment thesis would become materially weaker if GAAP operating margin remains below 20% for four or more consecutive quarters after fiscal 2026, if net debt/EBITDA rises above 2.5 times on a calculated basis without a clear deleveraging plan, or if Mako/Mako RPS placement growth decelerates toward the low-single-digit market growth rate for two or more consecutive quarters.

F. Standardised Company Snapshot

Category	Metric	Current	Prior Year	5Y Trend
Market	Market capitalisation	\$123.6bn	\$134.3bn (FY25 YE)	Up from \$102.2bn (FY21 YE)
Market	Enterprise value	\$135.0bn	\$146.2bn (FY25 YE)	Up from \$112.8bn (FY21 YE)
Market	Share price	\$322.12	\$351.47 (FY25 YE)	+16.2% (5yr)
Growth	Revenue growth (TTM/FY25)	8.5% / 11.2%	10.2% (FY24)	CAGR ~10.1% (FY21-25)
Profitability	Gross margin	65.6% (TTM)	64.0% (FY25)	Up from 62.6% (FY21)
Profitability	Operating margin, GAAP	~22.0% (TTM, calc.)	19.5% (FY25)	Range 19.5%-22.4%
Profitability	Net margin	14.4% (TTM)	12.9% (FY25)	Range 11.7%-15.4%
Profitability	Return on equity	~15.6% (TTM)	14.5% (FY25)	Range 13.4%-17.0%
Profitability	Return on invested capital, calc.	~11.0% (TTM)	10.2% (FY25)	Range 10.2%-14.5%
Cash Flow	Operating cash flow	\$5.53bn (TTM)	\$5.04bn (FY25)	Up from \$3.26bn (FY21)
Cash Flow	Free cash flow, calc.	\$4.70bn (TTM)	\$4.28bn (FY25)	Up from \$2.74bn (FY21)
Leverage	Net debt / EBITDA, calc.	~1.7x (TTM)	1.96x (FY25)	Range 1.50x-2.38x
Valuation	P/E, trailing GAAP	~33x	41.8x (FY25 YE)	Range 36x-51x
Valuation	EV/EBITDA, calc.	~20x	24.0x (FY25 YE)	Range 22x-24x
Valuation	P/FCF	~26x	~31x (FY25 YE, calc.)	n/a
Market	Beta	0.77	n/a	n/a
Market	Volatility, annualised (short-window estimate)	~40%	n/a	n/a
Market	Maximum drawdown, trailing year	~-22% to -29%	n/a	n/a

Calculated figures derived by the analyst from Alpha Vantage financial data (symbol SYK), accessed 27 August 2026; see methodology notes in Sections B and C. TTM operating margin, net margin, ROE and ROIC are analyst estimates blending TTM revenue/net income with FY2025 balance-sheet bases and are approximate.

G. Sources and Methodology

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Calculations Performed By The Analyst

Free cash flow (operating cash flow less capital expenditure); net debt; net debt/EBITDA; EBITDA (operating income plus depreciation and amortisation); return on invested capital; historical trailing P/E and EV/EBITDA at each fiscal year-end; price returns

across all horizons in Table B4.1; the discounted cash flow model and sensitivity table in Section C5; and all bar, line and comparison charts throughout this report, built from the underlying sourced data cited above.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.